Moreover, it produced a number of brilliant commanders and statesmen needed for the task. But the Maratha *sardars* lacked unity, and they lacked the outlook and programme which were necessary for founding an all-India empire. And so they failed to replace the Mughals. They did, however, succeed in waging continuous war against the Mughal empire, till they destroyed it.

Shahu, the grandson of Shivaji, had been a prisoner in the hands of Aurangzeb since 1689. Aurangzeb had treated him and his mother with great dignity, honour, and consideration, paying full attention to their religious, caste, and other needs, hoping perhaps to arrive at a political agreement with Shahu. Shahu was released in 1707 after Aurangzeb's death. Very soon a civil war broke out between Shahu at Satara and his aunt Tara Bai at Kolhapur who had carried out an anti-Mughal struggle since 1700 in the name of her son Shivaji II after the death of her husband Raja Ram. Maratha *sardars,* each one of whom had a large following of soldiers loyal to himself alone, began to side with one or the other contender for power. They used this opportunity to increase their power and influence by bargaining with the two contenders for power. Several of them even intrigued with the Mughal viceroys of the Deccan. Arising from the conflict between Shahu and his rival at Kolhapur, a new system of Maratha government was evolved under the leadership of Balaji Vishwanath, the Peshwa of King Shahu. With this change began the second period—the period of Peshwa domination—in Maratha history in which the Maratha state was transformed into an empire.

Balaji Vishwanath, a brahmin, started life as a petty revenue official and then rose step by step. He rendered Shahu loyal and useful service in suppressing his enemies. He excelled in diplomacy and won over many of the big Maratha *sardars* to Shahu's cause. In 1713, Shahu made him his Peshwa or the *mukh pradhan* (chief minister). Balaji Vishwanath gradually consolidated Shahu's hold and his own over Maratha *sardars* and over most of Maharashtra except for the region south of Kolhapur where Raja Ram's descendants ruled. The Peshwa concentrated power in his office and eclipsed the other ministers and